

subtract the height from the pattern's high, you can see how often price will reach the target on average.

For example, if you use half the pattern's height as a target, the stock will drop to the target nearly all of the time (95% to 98%). It also means that the extension is probably located just above the target.

Short. If you're willing to risk a short sale, then I would place an order to short if the low price drops below the bottom of the extension (or even place it when the stock is near the top of the extension). That way, the order will get you into the trade at a good price.

Table 72.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	The measure rule target is the left side bottom of the V. The bottom portion of the table shows how often various heights work in the measure rule.
Short	For experienced traders: Place an order to sell short a penny below the bottom, right side of the V (as soon as you know an extension is forming).

Description	Bull Market	Bear Market
Percentage reaching half height target	95%	98%
Percentage reaching bottom start of V	49%	60%
Percentage reaching 2× height	12%	21%
Percentage reaching 3× height	2%	7%

For the exit, if you can figure out when price is about to rise (at the end of the trade), then cover your short and hope it's below the entry price.

Sample Trade

Figure 72.4 shows a trade Stan made. He completed checking the company's fundamentals and checked charts on the health of the metals the